2.5 Environmental Economics

Video: Environmental Econ (Crash Course Economics)

Pollution and Choices

Pollution is a by-product of human existence. This episode focuses on _____ emissions.

Carbon dioxide is one of the primary _____, which blanket the earth and are causing _____.

The Economic Solution

Step 1: Identify the sources, such as factories that burn _____ and vehicles with internal combustion engines.
Step 2: Decrease the _____ of these technologies and products, or decrease the _____ for them.

Countries acting alone face the _____: no one owns the _____, so there is little incentive to keep it clean.

New energy sources have a hard time competing because markets have made fossil fuels very cheap.

How Government Can Intervene

Pollution creates _____ and is a _____. Some economists argue government intervention is essential.

Set specific rules on how much industries can pollute.
Use _____, such as taxes on gasoline or _____ for electric cars.
Create permit markets, also called _____.
Subsidize technologies like solar or wind energy.

The Rebound Effect

The _____ says the benefits of energy efficiency might be reduced as people change their behavior.

Example: Hank buys a fuel efficient car and saves money, but he might start _____.

This does not mean we should skip energy saving technology; it means we must think about how consumers will behave.

Reasons for Hope

Countries have signed international _____ to reduce greenhouse gas emissions.

China leads the world in renewable energy _____.

Consumers also matter: conserving and consuming more _____ can help, but individual action alone is not enough.

Think About It

What is one choice you or your family could make to use energy more efficiently? Could the rebound effect apply to it? _____